

Multiple Choice (10 marks)

1. Which of the following statements is most consistent with a capitalist market economy?
 - (a) Economic resources are allocated according to the decisions of the central bank.
 - (b) Private property is fundamental to innovation, growth, and trade.
 - (c) A central government plans the production and distribution of goods.
 - (d) Most wages and prices are legally controlled.
2. A dark room technician who develops film into photographs loses his job because few people use film cameras any more. This is an example of which of the following?
 - (a) Seasonal unemployment
 - (b) Casual unemployment
 - (c) Cyclical unemployment
 - (d) Structural unemployment
 - (e) Underemployment
3. If a Johansen "trace" test for a null hypothesis of 2 cointegrating vectors is applied to a system containing 4 variables is conducted, which eigenvalues would be used in the test?
 - (a) The largest and smallest
 - (b) The smallest and second smallest
 - (c) The middle two
 - (d) The smallest 2
 - (e) The largest 2
4. If real GDP per capita was 10000 *in* 1990 *and* 15000 in 2000 then the amount of economic growth is
 - (a) 75 percent.
 - (b) 0.5 percent.
 - (c) 20 percent.
 - (d) 100 percent.
 - (e) 25 percent.
5. Which of the following would shift the aggregate demand curve to the left?
 - (a) An increase in consumer confidence.

- (b) Increase in the prices of goods and services.
- (c) Business firms expect lower sales in the future.
- (d) A technological advancement in the production process.
- (e) An increase in the wealth of consumers.

True / False (10 marks)

Answer True or False

6. True or False: Theo's job loss due to the seasonal closure of the pool exemplifies natural unemployment, which includes seasonal job fluctuations.
7. True or False: In a perfectly competitive market, firms must raise wages to attract additional workers due to increased demand for labor.
8. True or False: The velocity of money in the United States, given a total transaction value of 100,000 and a money supply of 10,000, is 20.
9. True or False: VARs often produce better forecasts than simultaneous equation structural models due to their flexibility in capturing dynamic relationships.
10. True or False: Demand for a good with no close substitutes is likely to have a demand curve that is the least elastic.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the impact of multicollinearity on the properties of the Ordinary Least Squares (OLS) estimator, particularly regarding its unbiasedness and efficiency.
12. Discuss the characteristics of a kinked demand curve and critically analyze why the relationship between price and marginal cost is significant in this model.

End of Paper